Executives
Armando Giner -
Daniel Javier Servitje Montull - Chairman, CEO & Member of Advisory Board
Guillermo Jorge Quiroz Abed - Chief Administration & Financial Officer and Member of Advisory Board

Analysts
Amit Sharma - Analyst
Miguel Mayorga -
Nikolaj Lippmann - Equity Analyst
Sambuddha Ray - Research Analyst
Unknown Analyst -

Presentation

Operator
Good morning, everyone, and welcome to Grupo Bimbo's Third Quarter 2011 Results Conference Call. If you need a copy of the press release issued yesterday, it is available on the company's website at www.grupobimbo.com.

Before we begin, I would like to remind you that this call is being recorded and that the information discussed today may include forward-looking statements regarding the company's financial and operating performance. All projections are subject to risks, uncertainties, and actual results may differ materially. Please refer to the detailed note in the company's press release regarding forward-looking statements.

I will now turn the call over to Mr. Daniel Servitje, Chief Executive Officer of Grupo Bimbo. Please go ahead, sir.

Daniel Javier Servitje Montull
Good morning, everyone, and thank you for joining us for the second time this week. We will begin with a quick review of the developments and performance in the quarter, as well as some comments on our financial position. And then, we will be happy to take any questions you may have.

Overall, performance this quarter was in line with our expectations, trending more positively than in the first half of the year. In terms of revenue, we saw the positive effect of pricing initiatives from earlier in the year, and combined with volume growth in Mexico and Latin America, the top line rose 9% over the third quarter of last year.

As expected, the raw materials environment was challenging, not just on a comparative basis but also due to marked increases in many of our key inputs. We were able to recover some growth on the operational line through greater distribution and administrative efficiencies, and you can see that margin pressure has eased from earlier in the year.

Looking at regional performance, starting with Mexico. Net sales were up a very healthy -- I should say,

fairly healthy 14% from the year-ago period. I would like to point out that volume growth accounted for about 40% of the increase.

Every category in our portfolio generated improvements with our performance in the tortilla, sweet baked goods, cookie and snack categories. We also continued to introduce new products with whole-wheat stamps certified by the Whole Grains Council, which designates products that adhere to strict formulations and help consumers identify the specific nutritional profile they are looking for.

Another highlight this quarter is that we relaunched our award-winning Haz Sandwich campaign, which we expect to support continued volume growth. From a profitability perspective, we were able to offset a good portion of higher commodity cost with distribution efficiencies at the operating level, limiting margin contraction to 1.3% percentage points.

In the United States, the 3.4% sales growth in dollar terms primarily reflects deflected pricing initiatives. Overall, volumes were weaker in the period due to a shift in the still soft [ph] confectionery environment, but there were a few bright spots like Bimbo and Marinela sweet baked goods, the Entenmann's line and the breakfast category. New product launches like the Arnold and Oroweat Flax & Fiber premium bread lines and Thomas' Pumpkin Spice Bagels are emerging now a successful innovation track record with such standouts in recent years of sandwich thins, bagel minis and others.

In terms of cost and expenses in the U.S. this quarter, along with higher commodity cost, we also faced the rising fuel costs, start-up expenses at our new Topeka plant and expenses related to the extreme weather conditions we had in the Northeast this quarter, which affected 3 of our plants in the region. All of this was on top of our ongoing market penetration investment. Nonetheless, we were able to keep the operating margins fairly stable with only a 20-basis point contraction.

In terms of the Sara Lee acquisition, as you know, we received regulatory clearance last Friday and are now getting ready to close the transaction and move forward on our integration process and consent decree requirements. We will share more information on all this with you in the coming weeks and months.

Moving on to Latin America. The more than 24% rise in sales in the quarter was primarily attributable to volume gains with some support from pricing initiatives undertaken earlier in the year. We are pleased to announce the close of the Fargo acquisition in Argentina, which significantly strengthens the scale and scope of our operation in the region. We continue to add new clients in the period as part of our ongoing market expansion efforts. This investment in distribution combined with higher raw material costs resulted in a 3.2 percentage-point loss in operating margin.

Let me share with you that our expectations for the fourth quarter are unchanged. We see both continued volume growth and some easing of raw materials on a comparative basis, although pressure will certainly remain. In terms of margin performance, we are maintaining our projection of stable year-over-year performance at the operating level.

Well, this concludes my remarks this morning. So we are now ready to take any questions you may have.

Question and Answer

Operator
[Operator Instructions] Your first question comes from the line of Sam Ray of JPMorgan.

Sambuddha Ray
Daniel, this is Sam Ray from JPMorgan. I am representing Alan Alanis. My question has to do with Mexico. Could you give us a little bit more color on how much of the revenue growth, the double-digit revenue growth, is coming from pricing versus volume? And how do you expect this trend to continue in 2012?

Daniel Javier Servitje Montull
Yes. As we mentioned, 40% of our growth this year in Mexico was attributable to volume growth, and we're continuing the healthy volume growth in this week. So we're quite confident that the price increases were moderate. They are already incorporated in the consumption behavior patterns, and we're looking forward to a good quarter this year in Mexico.

Sambuddha Ray
Okay. So should we expect something similar for 2012 as well of a decent mix of pricing and volume mix so as far for high -- I mean, low-double digit or mid-teen top line growth in the Mexican division?

Daniel Javier Servitje Montull
Well, the volatility of commodities wouldn't allow us to define clearly what's going to happen in regards to pricing. What I can tell you is that we have seen that the commodity prices that we have been facing are higher and stronger than we have had in the past. So I'd expect in that regard, a less active next year in terms of pricing than we had this year. So most of our focus will be on developing our capacity to keep on growing volume with market penetration and a lot of activities on the commercial side.

Sambuddha Ray
Okay. That's very helpful. If I may ask, just a follow up on Mexican again, just on the profitability front. You mentioned that you have been seeing a lot of operating efficiency on the HCM level. So do you expect this trend to continue if commodity prices keep giving you a lot of pressure on the gross margin level? So do you expect to contain your SG&A going forward from the levels that you're seeing right now?

Daniel Javier Servitje Montull
Yes. We always are looking for opportunities to increase productivity on all sides of the business in time, and we also have projects right now in that regard. I cannot tell you that they will be very strong or not because we're in this process of developing the initiatives for next year. But I'm confident that we will continue the trend that we have faced in the past year and especially this year.

Operator
Your next question comes from the line of Miguel Mayorga of GBM.

Miguel Mayorga
I have 2 questions. My first one is regarding -- I was wondering if you could give us a little more color regarding your hedging strategy and what we should see for 2012 in this matter?

Daniel Javier Servitje Montull
You mentioned 2 questions, Miguel?

Miguel Mayorga
Yes. And the second one is regarding Latin America's operation, and I was wondering if you have an estimate when that operation should start to show profitability in which are you investing today?

Daniel Javier Servitje Montull
Yes. On the first question, our hedging policy. Basically, we hope for having at least 3 months in advance for our major inputs and up to 9 in some cases, if it merits. So that's sort of the window that we want to have for the key inputs. On the second question, we hope to have a much better quarter on the 4 one, as we are rolling a bad quarter last year, and as we keep on improving on some countries in which we have faced particularly strong initiatives on growing our raw distribution structure. So that's our expectation and we hope to have a much better quarter on the third one and a better year for 2012.

Operator
[Operator Instructions] Your next question comes from the line of Nikolaj Lippmann of Morgan Stanley.

Nikolaj Lippmann
Two questions. First, in relationship to the Mexican market, can you say if your whole market is growing, if you're taking share and if you had any new initiatives still unchanged in the channel over the course of the quarter. That's the first question. The second question is related to the incorporation of Sara Lee. Would you have -- that had losses for a while. Can you comment on your tax rate for 2012 and potentially onwards? And whether that will -- to what extent that would be lower due to tax costs coming forwards from the U.S. operations of Sara Lee.

Daniel Javier Servitje Montull
Let me take the first question, Nicholaj. On the Mexican market, we're -- as we were mentioning, we're growing at a healthy rate, and given that we increased prices to cover the commodity increases. And we're quite bullish on our initiatives on many fronts. And yes, we're either regaining market share that we lost in the past year, year and a half on some categories, as well as keep on improving the per-capita consumption on other categories. So the initiatives that we have in that regard are basically the one that we have done in the past with the new product pipeline and also the efforts that we have to keep on improving our presence in the traditional market, small stores. There are a lot of initiatives on all grounds, and overall, I can tell you that I'm happy with the performance and the outlook for our businesses in Mexico. We also have integrated quite successfully our double [ph] confectionery business into a sole [ph] division, and it's performing as expected. On the Sara Lee tax question, I'll hand over the microphone to Guillermo Quiroz, our CFO.

Guillermo Jorge Quiroz Abed
We aren't expecting any substantial change in our tax rate. It's important to mention that as we are becoming more global, this -- the amount of facts that you see in our P&L are also affected by the difference -- the different currencies of the country we operate in. So in fact, the nominal exchange rate that we have in each country, we also have to consider the movement of those currencies. I think that is what puts some volatility in there as well. So basically, we're not seeing any changes in our future rates.

Operator
Your next question comes from the line of Tim Sidoff [ph] of TIAA [ph].

Unknown Analyst
Well, I just have a quick question on the change gain and loss for the quarter. On your income statement, it says it's MXN 5.62 million that's a loss, but in the notes it says it's a gain. I mean, which one is it? And can you clarify what it's for? And also, a second question on top of that, what kind of hedges do you have on your balance sheet?

Guillermo Jorge Quiroz Abed
First, I am not sure what your question was. Basically, we have a huge important exchange during the quarter. I would say that comes basically from the low position we have in terms of dollars, because we were preparing to make a payment from the Sara Lee acquisition, and we were already funded, and the movements on the exchange rate during the quarter gave us an important exchange gain that, unfortunately, took us to a -- not to a cost of finances but a net profit. And regarding on our hedges, we have some cost currency swaps, but basically the most important part comes from natural hedgings that are about -- comes from linking our dollar-denominated debt with our dollar-denominated assets, which are basically the shares on the funds coming from our U.S. operation.

Unknown Analyst
Okay. So do you swap any of the debt into peso or you just -- do you have a natural hedge in that...

Guillermo Jorge Quiroz Abed
No. We swap most of that into dollars, and we can share the natural investments between pesos [ph] and the U.S.

Operator
Your next question comes from the line of Amit Sharma of BMO Capital Markets.

Amit Sharma
Two questions. Number one, as part of the divestiture -- as part of the acquisition, you indicated that you will need to divest some assets in North America. Could you please provide some more details as to how many bakeries are you required to divest and in which regions? And number two, you indicated that your breakfast category in the U.S. is doing reasonably well. Can you provide a little bit more details around sliced bread category, how is that doing especially in light of the pricing that you and the category have taken?

Guillermo Jorge Quiroz Abed
Regarding the first question, we don't have an answer to that yet. As you recall, we just received the authorization to go forward next Friday, and we are now working with some of our advisors to find exactly what -- how are we going to proceed to achieve what we were requested by the DOJ. So we don't have any details so far. And the second question?

Armando Giner
Yes, Amit, regarding the second question, as Daniel said, in general, the volumes went down but in the breakfast categories, which in our case and most important volatile, the English muffins and bagels are the ones that highlighted all of that -- that recorded or had good volume growth. It's not [indiscernible] it's, in our case, it's English muffins and bagels.

Operator

At this time, there are no further questions. I'd like to turn the floor back over to management for any closing remarks.

Daniel Javier Servitje Montull
Thank you very much, Maria. And thank you, all, for your time and interest today. And as always, please do not hesitate to contact us with any further comments or questions you might have, and we look forward to speaking with you soon. Bye-bye.

Operator
This concludes today's Grupo Bimbo's Third Quarter 2011 Results Conference Call. You may now disconnect.

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